



PAKISTAN MUCCADAM ASSOCIATION

REPRESENTING MUCCADAMS • PROMOTING INTEGRITY • ENSURING TRUST

INTRODUCTION

PAKISTAN MUCCADAM ASSOCIATION (PMA)

The **Pakistan Muccadam Association (PMA)** has been established as a professional, non-profit, and non-political representative body of Muccadam companies operating across Pakistan. For several decades, Muccadam companies have rendered critical services to the banking sector by safeguarding pledged stocks, supervising pledge sites, appointing and managing godown keepers, maintaining stock integrity, and protecting the financial interests of banks. Throughout this period, Muccadam companies have consistently demonstrated professional integrity, dedication, and accountability while securing commodities worth billions of rupees and playing a vital role in the risk-management framework of pledge-based banking finance.

Historically, banks have recognized and relied upon Muccadam companies as an essential operational partner in pledge financing. Through years of service delivery, Muccadam companies have prioritized banks' interests, ensured compliance with banking instructions, while upholding professional standards under challenging operational environments. However, recent economic conditions, which were marked by inflation, rising fuel and utility costs, increased salaries of pledge staff and regional staff personals, have significantly escalated the cost of doing business for Muccadam companies. Despite these economic realities, Muccadam charges

have not been revised proportionately, while operational expectations, risk exposure, and unilateral policy changes of the banks have increased substantially.



This growing imbalance has rendered sustainable operations increasingly difficult for Muccadam companies and has highlighted the urgent need for collective, organized, and professional platform.

The **formation of the Pakistan Muccadam Association** is therefore not reactionary, but a necessary evolution aimed at ensuring continuity, stability, and professionalism within the Muccadam sector.

NATURE OF THE ASSOCIATION

The Association has been formed to represent the collective voice of Muccadam companies in a structured and responsible manner, enabling constructive engagement with banks and relevant authorities on matters affecting operations, business allocation, grievances and economic sustainability.

The purpose of PMA is to safeguard the legitimate commercial, operational, and legal interests of Muccadam companies while maintaining a cooperative and non-adversarial approach toward banks. The Association does not seek confrontation or conflict; rather, it aims to present industry concerns professionally, supported by operational realities and economic facts, so that banks may better understand the challenges faced by Muccadam companies. By doing

so, PMA seeks to promote fair, balanced, and transparent frameworks relating to Muccadam charges, security deposit policies, contractual terms, legal responsibilities, and security expectations, thereby strengthening the overall pledge-management ecosystem.



Through collective representation, PMA endeavors to ensure that Muccadam companies are able to continue providing reliable and professional services without compromising their financial viability or operational integrity. The Association believes that sustainable banking operations are dependent on healthy and professionally managed service providers, and that mutual trust and transparency between banks and Muccadam companies are essential for long-term success.

STRUCTURE OF THE ASSOCIATION

The Pakistan Muccadam Association shall function through an organized structure comprising elected office bearers and executive members drawn from Muccadam company owners, chief executive officers, and proprietors.

- Mr. Ibrahim Amin shall serve as the Chairman of the Association.
- Mr. Ashfaq Rehmat Ali as the Vice Chairman.
- Mr. AAK Niazi as the General Secretary.

All other member Muccadam companies shall be represented through their respective owners, CEOs, or proprietors, who shall collectively form the Executive Members of this official body.

FORMATION OF THE ASSOCIATION & RELATION TO BANKS



PMA remains committed to protecting banks' interests without compromising its own sustainability, ensuring continuity of professional services, strengthening institutional trust, and contributing to a transparent, fair, and resilient pledge-management framework in Pakistan. Only through a unified, principled, and professional platform can Muccadam companies continue to serve Pakistan's banking sector effectively and responsibly in the evolving economic and regulatory landscape.

CONCLUSION

The formation of the Pakistan Muccadam Association represents an evolution necessitated by economic realities, operational risks, and policy imbalances. Through a unified, principled, and professional platform, Muccadam companies aim to continue serving Pakistan's banking sector effectively, responsibly, and sustainably in the evolving economic and regulatory environment